

ASSIGNMENT – STARTUP BASICS

1.What is a startup?

A startup is a company which is recently established and tends to base itself on an innovative idea, product or service; it usually aims at offering an alternative solution to a particular problem and at achieving rapid business growth. Generally, startups have a small number of employees and are financially restricted.

2. What is a business model?

A business model is the plan according to which a company intends to obtain income from the production of its goods or services; it covers various elements such as the identification of target consumers, the provision of benefits to them, reaching customers and earning revenue. For example, a company may get revenue from the sale of products, from subscriptions or from commissions.

3. What is startup funding?

A startup's funding refers to the money that it obtains in order to start and carry out its business activities. This money can be put towards product development, recruitment, marketing, the acquisition of technology and a number of other purposes. The funding may come from the owners of the startup, investors, banks or other institutions.

4. What is a startup valuation?

The value of a startup means making an estimate of its value at a particular point in time, and this becomes important when an investor is putting money into the company since the valuation of the startup determines how many shares the investor will receive.

5. Name any three Indian startups.

- Lenskart
- Groww
- Zepto

6. What is a unicorn?

Unicorn is a privately owned startup which has reached a valuation of over one billion dollars, the term being used because such high valuations are rare among startups.

7. Name any two sources of startup funding.

The two sources of funding are:

- Angel investors are individuals who put their own money into startups that have a high potential.
- Venture capital firms are companies which assign money to startups that have great growth potential.

8. Why do startups need funding?

Startups require funding because, in the early stage, they have fairly high expenses but usually do not have sufficient revenues. The money allows them to develop their product, hire people, promote themselves, buy technology and enter new markets. Proper funding also gives the startup extra time to set up even if it is not yet profitable.

Practical Question

Given:

Startup valuation = ₹20 crore

Investor investment = ₹2 crore

Therefore, Percentage received by investor =

Investor's ownership = $(\text{Investment} / \text{Valuation}) \times 100$

= $(\text{₹2 crore} / \text{₹20 crore}) \times 100$

= 10%

Hence the investor will have 10 per cent of the startup.